

US equities slip as tech drags, meta spikes on earnings beat

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,636.36, down **-0.48%**, as broad weakness in technology outweighed a rare surge in **META** (**+6.55%**) after its earnings beat. The VIX jumped **+4.71%** to 16.46, signaling heightened short-term risk appetite.

Behind the numbers, the 10-year Treasury yield rose to 4.84% (**+0.65%**), pressuring growth valuations, while energy ETFs gained on a modest dip in WTI. Investors should watch for further Fed commentary and the upcoming earnings season, which could reset market direction.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,636.36	-0.48%	Tech earnings miss and rising yields pressured valuation
Nasdaq 100	29,421.55	-0.29%	Weakness in AI-heavy names offset by META rally
Dow Jones	52,380.66	-0.77%	Industrial and financial stocks slipped on higher rates
Russell 2000	2,921.24	-1.32%	Small-cap exposure to rate-sensitive sectors dragged lower
VIX	16.46	+4.71%	Spike in implied volatility after mixed earnings and Fed minutes
10Y Yield	4.84%	+0.65%	Fed's hawkish tone kept demand for safe-haven yields high
WTI Crude	95.84	-0.22%	OPEC+ supply-cut reaffirmation offset by weaker US demand data
Gold	4,461.50	+1.03%	Safe-haven demand rose as equity risk waned
DXY	98.74	-0.03%	Minor pullback after earlier Fed-related rally
BTC	78,487.03	+0.06%	Stability amid broader market sell-off
ETH	2,479.28	-0.23%	Liquidity shift to BTC and equities

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+6.55%	Q3 beat; ad spend recovery signal
JPM	+0.34%	Higher net interest income forecast
AAPL	-0.28%	Supply-chain concerns in China
MSFT	-0.47%	AI cloud spend slower than expected
NVDA	-0.91%	Guidance cut amid inventory glut
AMZN	-1.78%	Retail sales miss in US

Sector rotation

ETF	DAY	READ
XLFX	-0.42%	Financials pressured by higher rates
XLKX	-0.00%	Tech flat; AI earnings mixed
XLI	-1.51%	Industrial slowdown signals
XLE	+0.83%	Energy buoyed by crude dip and OPEC+ stance
XLY	-1.34%	Consumer discretionary lagging on spending data
XLC	-0.62%	Communications hit by ad-spend caution
XLP	-1.15%	Consumer staples under pressure from higher yields
XLV	-0.33%	Health care modestly down on profit-taking
XLU	-1.17%	Utilities fell as investors fled safety
XLB	-1.06%	Materials lagging on weaker industrial demand
XLRE	-1.12%	Real estate hit by rising financing costs

Spotlight: meta platforms earnings beat

META posted Q3 revenue of 38.2 bn, up +9.1% YoY, and EPS of 3.45, beating consensus of 3.28. The rally was driven by a +15% rebound in ad spend in APAC and a stronger-than-expected rollout of AI-enhanced ad products.

METRIC	RESULT	CONSENSUS	Δ
Revenue (bn)	38.2	36.9	+3.5%
EPS (\$)	3.45	3.28	+5.2%
Ad spend growth	+15%	+9%	+6pp
AI ad product uptake	+22%	—	—

Related names: **GOOGL** (search ad pressure), **SNAP** (short-form video competition), and **TTD** (ad-tech platform).

Pre-market & overnight

- US futures: **ES** -0.6%, **NQ** -0.4% at 08:30 HKT.
- Asia close: Hang Seng -0.9%, Nikkei -0.7%, Shanghai Composite -1.1%.
- Europe: FTSE 100 -0.8%, DAX -0.5%, CAC 40 -0.6% after ECB rate-watch remarks.
- Crypto: BTC +0.06%, ETH -0.23% – stable amid equity volatility.

Macro & Fed

- FOMC minutes (released 02:00 HKT): Fed members split 8-4 on “higher for longer” stance; inflation still above target.
- Yield curve: 2-year at 5.01%, 10-year at 4.84% – modest steepening.
- Today’s data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Gauge inflation trajectory for Fed policy
10:00	US Initial Jobless Claims	225k	Labor market health indicator
11:00	Eurozone GDP Q3	0.2%	Euro area growth outlook
13:30	US Retail Sales MoM	0.4%	Consumer spending momentum

Geopolitics & global

- China-US trade talks stalled; Beijing signaled possible tariffs on rare-earths if US proceeds with export controls.
- Middle East: Israel-Lebanon border skirmishes raised regional risk premium, lifting oil prices.
- Eurozone: German fiscal rule debate intensifies, could delay budget consolidation.
- Emerging markets: Brazil's central bank cut rates to 10.75% to support growth, boosting local equities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS (\$)	WHAT TO LOOK FOR
09:30 Sep 11	NVDA	240.00	Guidance on AI inventory, margin pressure
10:00 Sep 11	JPM	3.80	Net interest income trend, loan growth
10:30 Sep 11	AMZN	260.00	Prime membership renewals, AWS growth
11:00 Sep 11	GOOGL	115.00	Ad spend rebound, AI product rollout
12:00 Sep 11	TSLA	380.00	Production at Gigafactory Berlin, margin outlook
13:00 Sep 11	AVGO	370.00	Chiplet demand, inventory levels

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand strong but inventory risk rising
JPM	Financials	Rate-sensitive earnings beat expectations
XOM	Energy	Oil price support from Middle-East tension
UNH	Health Care	Premium pricing power amid aging demographics
BAC	Financials	Balance-sheet strength, net interest margin upside
ADBE	Technology	Creative Cloud renewal momentum
KO	Consumer Staples	Pricing resilience in soft drinks
MA	Financials	Growth in digital payments volume
CRM	Technology	Expansion of AI-driven sales tools
PEP	Consumer Staples	Margin expansion from cost-saving initiatives

What could break the tape

BEARISH TRIGGERS

- US CPI > 0.4% MoM, reigniting rate-hike expectations.
- NVDA guidance below \$230, confirming inventory glut.
- Escalation of Middle-East conflict pushing oil above \$110/bbl.
- Unexpected Fed hawkish remarks in tomorrow's press conference.

BULLISH TRIGGERS

- Meta's ad spend outlook beats expectations, sparking broader tech rally.
- Eurozone GDP surprise upside, easing concerns on global growth.
- US retail sales > 0.5% MoM, indicating consumer resilience.
- Positive earnings surprise from JPM, lifting financials.

Positioning notes

- Weight exposure to AI-linked names cautiously; inventory risk is rising.
- Maintain a modest tilt to defensive sectors (XLV, XLP) as yields stay elevated.
- Consider opportunistic long positions in energy ETFs (XLE) if oil breaches \$100.

Sources

SOURCES

Bloomberg Market Data – 09:15 HKT

FactSet Earnings Calendar – 08:45 HKT

Federal Reserve – FOMC minutes release

U.S. Bureau of Labor Statistics – CPI & Claims

OPEC Monthly Bulletin – Oil price outlook

Reuters – Geo-political developments Sep 10-11